

Amendment No. 1 to HB1235

Farmer
Signature of Sponsor

AMEND Senate Bill No. 312*

House Bill No. 1235

by deleting all language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Section 37-1-172, is amended by adding the following as new subsections:

(c) When the department serves as the representative payee on behalf of a child in the custody or guardianship of the department for any social security benefits under Title II of the federal Social Security Act, compiled in 42 U.S.C. § 401 et seq., supplemental security income benefits under Title XVI of the federal Social Security Act, compiled in 42 U.S.C. § 1381 et seq., or veteran's benefits that the child may receive, the department shall conserve those benefits for the child's future needs in a manner consistent with federal and state asset resource limits, or use the funds as allowed in subsection (e).

(d) The department shall exercise its discretion to conserve or use the benefits specified in subsection (c) in the best interest of the child. The department is authorized to establish appropriate accounts for the use or conservation of the benefits, including a plan for achieving self-support, a 529 or 529A plan, an individual development account, a special needs trust, a bank account, or any other trust account determined not to interfere with social security or asset limitations for any other benefit program.

(e) If it is in the best interest of the child, then the department may utilize the benefits, rather than conserving them, in the following circumstances:

(1) For any special needs services that are not otherwise provided by the department;

(2) For the cost of caring for the child, if the conserved benefit amounts negatively impact social security or asset limitations; and

(3) For the cost of caring for the child, if the child is placed in a residential facility. For the purposes of this subdivision (e)(3), a residential facility does not include a group home or similar placement.

(f) The department shall maintain child-specific records related to the conservation and use of benefits specified in subsection (c).

(g) The department may use a reasonable portion of interest earnings from the benefits specified in subsection (c) to offset the reasonable expenses incurred in meeting the department's obligations to use or conserve benefits pursuant to this section.

(h) When the child is no longer in the legal custody or guardianship of the department, the department shall release any conserved benefits pursuant to the requirements of the funding source, or in the absence of any requirements, release the conserved benefits to:

(1) The child, if the child is at least eighteen (18) years of age or is emancipated; or

(2) The child's legal custodian if the child is a minor and not emancipated.

(i) The department is authorized to promulgate rules to effectuate the purposes of this section.

SECTION 2. For the purpose of promulgating rules, this act takes effect upon becoming a law, the public welfare requiring it. All other sections take effect January 1, 2027, and apply to any benefits accrued on or after that date, the public welfare requiring it.